

(48)

Tentative Ruling

Re: ***In the Matter of Marilyn Caudillo***
Superior Court Case No. 26CU01981

Hearing Date: September 24, 2026 (Dept. 501)

Motion: Expedited Petition to Compromise Claim of Minor

Tentative Ruling:

To grant the petition. The court intends to sign the proposed orders. No appearances are necessary.

The court sets a ***Status Conference for Wednesday, December 16, 2026 at 3:30 p.m., in Department 501***, for confirmation of deposit of the minor's funds into a blocked account. If Petitioner files the Acknowledgment of Receipt of Order and Funds for Deposit in Blocked Account (MC-356) at least five court days before the hearing, the status conference will come off calendar.

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

Tentative Ruling

Issued By: KCK on 09/22/26
(Judge's initials) (Date)

(37)

Tentative Ruling

Re: **NICBYTE, LLC v. Community West Bank**
Superior Court Case No. 24CECG01486

Hearing Date: September 24, 2026 (Dept. 501)

Motion: By Defendant Community West Bank for Summary Judgment
or, in the Alternative, Summary Adjudication

Tentative Ruling:

To deny defendant's motion for summary judgment. (Code Civ. Proc., § 437c.) To deny defendant's motion for summary adjudication. (Code Civ. Proc., § 437c, subd. (t).)

Explanation:

Evidentiary Objections

The court overrules plaintiffs' objection as to the entire Declaration of Jake Soberal. The court overrules plaintiffs' objections to paragraphs 1 and 4 of the Soberal Declaration. The court sustains plaintiffs' objections to paragraphs 5, and 7-10 of the Soberal Declaration.

The court overrules plaintiffs' objection to the entire Declaration of Karen Smith. The court overrules plaintiffs' objections to paragraphs 8-9, 13-14, 17, 19, and 21 of the Smith Declaration. The court sustains plaintiffs' objections to paragraphs 15-16, 18, and 28 of the Smith Declaration.

The court overrules plaintiffs' objections to paragraphs 11 and 16 of the McWhorter Declaration.

The court overrules plaintiffs' objection to Exhibit 78.

The court declines to rule on defendants' evidentiary objections as these do not follow the format outlined in California Rules of Court, Rule 3.1354.

Judicial Notice

Both parties made a multitude of requests for judicial notice. None of the documents or information for which judicial notice was sought were necessary to evaluate the merits of this motion.

Procedural Matters

Defendant seeks summary judgment, or in the alternative, adjudication pursuant to Code of Civil Procedure section 437c, subdivision (t). Code of Civil Procedure section 437c, subdivision (t) has specific procedural requirements which defendant did not follow

prior to filing this motion. Where a party moves for summary adjudication of legal issues, other than for a claim for punitive damages, which does not completely dispose of a cause of action, affirmative defense, or issue of duty, then the parties must have a stipulation to do so. (Code Civ. Proc., § 437c, subd. (t).) Such must be filed prior to filing of the motion and would be subject to the court allowing the filing of such a motion for summary adjudication. (Code Civ. Proc., § 437c, subd. (t).)

Here, defendant's Notice of Motion seeks adjudication of issues pursuant to subdivision (t). However, defendant did not follow the procedures of seeking either a stipulation or court approval to do so. As such, the court will only consider whether summary judgment is warranted and whether adjudication is appropriate as to punitive damages.

Merits

A trial court shall grant summary judgment where there are no triable issues of material fact and the moving party is entitled to judgment as a matter of law. (Code Civ. Proc., § 437c, subd. (c).) In determining a motion for summary judgment, the court views the evidence "in the light most favorable to the plaintiff", liberally construing plaintiff's evidence and strictly scrutinizing the defendant's evidence. (*Nazir v. United Airlines, Inc.* (2009) 178 Cal.App.4th 243, 254.) The court does not weigh evidence or inferences (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 856), nevertheless, the court shall consider all inferences reasonably deducible from the evidence unless it is controverted by other inferences or evidence. (Code Civ. Proc., § 437c, subd. (c).) Doubts as to whether there is a triable issue of fact are resolved in favor of the opposing party. (*Ingham v. Luxor Cab Co.*, *supra*, 93 Cal.App.4th 1045, 1049.)

Summary adjudication is the proper mechanism for challenging a particular, "cause of action, an affirmative defense, a claim for punitive damages, or an issue of duty." (*Paramount Petroleum Corp. v. Superior Court* (2014) 227 Cal.App.4th 226, 242.) However, "[a] motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty." (Code Civ. Proc., § 437c, subd. (f)(1); see also *Catalano v. Superior Court* (2000) 82 Cal.App.4th 91, 97 [piecemeal adjudication prohibited].)

A summary judgment motion must show that the "material facts" are undisputed. (Code Civ. Proc., § 437c, subd. (b)(1).) The pleadings serve as the "outer measure of materiality" in a summary judgment motion, and the motion may not be granted or denied on issues not raised by the pleadings. (*Laabs v. City of Victorville* (2008) 163 Cal.App.4th 1242, 1258; *Nieto v. Blue Shield of Calif. Life & Health Ins. Co.* (2010) 181 Cal.App.4th 60, 74 [pleadings determine the scope of relevant issues on a summary judgment motion].)

Summary Judgment

Defendant identifies 18 material facts to support their motion for summary judgment. Plaintiffs have demonstrated triable issues of material fact as to Material Fact Numbers 7 and 8.

Material Fact Number 7 states, "The DACAs expressly authorized the Secured Parties to terminate the DACAs by written notice to the Bank and BWI, without requiring notice to or consent from any other person or entity." Plaintiffs argue that the bank did have an obligation to provide notice, regardless of who requested termination of the DACAs. Plaintiffs support this assertion citing to the DACA agreements, declarations, and deposition testimony. The DACA agreements state,

"Secured Party may terminate this Agreement by written notice to the Bank and Customer. Bank may terminate this Agreement (I) on 30 days' prior written notice to Secured Party and Customer and (II) if such termination is a result of Bank's closure of the account pursuant to its rights set for the in the Account Agreement governing the Account or in accordance with applicable law, in which case, notice to Customer as set forth in Section 1e. Customer may not terminate this Agreement except with written consent of Secured Party and with at least 30 days' prior written notice to Secured Party and Bank."

(Defendants' COE, Exh. 108, Sec. 8.)

Section 1e articulates that "Bank will not close the Account at the request of Customer or terminate this Agreement without providing at least 5 Business Days' advance notice to Customer and Secured Party." (Id. at Sec. 1e.) Plaintiffs have presented a triable issue as to the notice requirements.

Material Fact Number 8 states, "On November 18, 2022, the Secured Parties sent written notice to the Bank terminating the DACAs, through a letter signed by Jake Soberal as the 'Authorized Signatory for NIC Wise RE, LLC and the Bank believed in good faith that the instruction was genuine and from the appropriate party.'" Plaintiff presents two triable issues here. First, plaintiffs challenge that the notice came from the Secured Parties where Jake Soberal acted as an authorized signatory. Plaintiffs note that Soberal was not a Secured Party. Plaintiffs provide evidence of Soberal's role at Bitwise and documents and testimony regarding the plaintiffs being the Secured Parties. Plaintiffs assert that Soberal's authority to sign the DACAs themselves did not equate to authority to terminate them or otherwise be treated as a Secured Party. Further, plaintiffs challenge that the Bank had a good faith belief that Soberal had authority to terminate the DACAs. They provide evidence of the negotiations over the DACAs and that the Bank had a copy of the Operating Agreement for NIC Wise. The court would also note that defendant has not provided sufficient legal authority for the court to make a good faith belief determination as a matter of law.

As plaintiffs have identified triable issues of material fact, the motion for summary judgment is denied.

Punitive Damages

Code of Civil Procedure section 3294 provides for punitive damages, in actions not arising from contract, where a plaintiff proves by clear and convincing evidence that

Plaintiffs argue that defendant made false representations to plaintiffs regarding the existence, or lack thereof, of any other DACAs on the account at issue. Defendant argues that it checked its system and files and did not find the prior DACA. (UMF No. 132.) Thus, defendant articulates that any failure to disclose the existence of the other DACA was a mistake, not an intentional deception. Plaintiffs provide testimony evidence to challenge that the documents showing the prior DACA did not exist. (UMF No. 132, Micheli Dep. 24: 11-13.) Further, plaintiffs provide evidence that defendants had extensive history involving the prior DACA and recollection of such. (AMF Nos. 230-240.) Plaintiffs also assert that defendant was put on notice regarding falsified records regarding the account, but that defendant did not inform plaintiffs of such. (AMF Nos. 247-248.) Plaintiffs note that defendant acted to terminate their DACAs without providing notice to plaintiffs. (AMF Nos. 253-259.) Plaintiffs also identify an internal email directing a direct report to delete messages on the system regarding termination of the DACAs. (AMF No. 260.) A reasonable jury could find that plaintiffs' evidence is clear and convincing evidence of fraud.

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

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